

to service its debts. Extensive financial statement analysis is not nearly as important as a few skilled judgments regarding the company's prospects.

The selection of a fixed-value security for limited-income return should be, relatively, at least, a simple operation. The investor must make certain by quantitative tests that the income has been amply above the interest charges and that the current value of the business is well in excess of its debts. In addition, he must be satisfied in his own judgment that the character of the enterprise is such as to promise continued success in the future, or more accurately speaking, to make failure a highly unlikely occurrence. (Chap. 12)

In the end, though, we diverge from Graham and Dodd in one important way. In selecting bonds for purchase, we make judgments about the issuers' prospects, and here's why: when I began to analyze and manage high yield bonds in 1978, the widely held view was that investing in bonds and assessing the future are fundamentally incompatible, and that prudent bond investing must be based on solid inferences drawn from past and present data, as opposed to "speculation" regarding future events. But credit risk is prospective, and thus substantial credit risk can be borne intelligently only on the basis of skilled judgments about the future.

In large part, the old position represented a prejudice: that buying stocks—an inherently riskier proposition—can be done intelligently on the basis of judgments regarding the future, but depending on those same judgments in the more conservative world of bond investing just isn't right. Some of the greatest—and most profitable—market inefficiencies I have encountered have been the result of prejudices that walled off certain opportunities from "proper investing," and thus left them for flexible investors to pick off at prices far below their fair value. This seems to be one of these prejudices.